3.4 Which One to Choose - Relative or Absolute

We have previously seen the problem with DCF and absolute valuation. Additionally, we saw that if a company is losing money, relative valuation is ineffective.

Relative Valuation

- **Relative Valuation is a more applicable method and the data is easily accessible for retail investors despite the fact that forecasting is unnecessary and fewer assumptions are needed which makes it easier to begin with.**

- **Exit Multiple Approach is another excellent technique for relative valuation.**

or

Absolute Valuation

- **Absolute valuation makes it easier for us to identify the correct value of the company and is more flexible to reflect our assumptions.**

Institutional investors use absolute as well as relative valuation to support their research. They can do so as they can put a lot of their time & effort in research and they have the technical expertise. For Relative Valuation, we employ Valuation Bands.

As retail investors we will primarily use relative valuation- using exit multiple approach. Other than that feel free to play around with absolute valuation but do not act on it as of now.